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Request for Information: Development of an Artificial Intelligence Action Plan

Document: NSF_FRDOC_0001-DRAFT-2565

Comment on FR Doc # 2025-02305

Submitter Information

Name: Garrett Wasny

General Comment

I am submitting a formal response to the White House AI Action Plan Request for Information (RFI), titled "Advancing AI Governance in Financial Systems: A National Policy Framework for U.S. Leadership." This proposal outlines a comprehensive strategy for integrating AI transparency, accountability, and risk management into national financial governance.

Key recommendations include:

- . National AI Transparency Standards – Establishing mandatory AI audits and explainability requirements.
- . AI Financial Risk Management – Strengthening safeguards against cybersecurity threats, bias, and systemic AI-driven financial risks.
- . Workforce & Economic Growth – Creating AI auditing as a new revenue stream for CPAs and the accounting profession.
- . Strategic Government Leadership – Positioning OSTP & U.S. Treasury as lead agencies, coordinating with SEC, Federal Reserve, CFPB, FinCEN, and NIST.

The proposal is structured around the GAAAP.AI 54 Principles, which provide a foundational framework for aligning GAAP with AI governance to ensure that the U.S. remains a global leader in AI-driven financial oversight.

I welcome the opportunity to discuss this further or contribute to working groups on AI financial governance. Please feel free to reach out if additional information is needed.

Contact: [REDACTED]

Thank you for your time and consideration. The full proposal is attached for review.

Attachments

AI_Action_Plan_Submission_GarrettWasny_WhiteHouse_2025

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March 15, 2025

Subject: Submission to the AI Action Plan RFI – Advancing AI Financial Governance

Dear AI Action Plan Review Team,

I am pleased to submit my response to the **White House AI Action Plan Request for Information (RFI)**. My proposal, "**Advancing AI Governance in Financial Systems: A National Policy Framework for U.S. Leadership**," presents a **strategic roadmap** to integrate **AI transparency, accountability, and risk management** into national financial governance.

 Key Recommendations in this Submission:

✓ **National AI Transparency Standards** – Implementing **mandatory AI audits** and explainability requirements.

✓ **AI Financial Risk Management** – Addressing **cybersecurity, bias, and systemic financial AI risks**.

✓ **Workforce & Economic Growth** – Establishing **AI auditing** as a new specialization and revenue stream for CPAs.

✓ **Strategic Government Leadership** – Positioning **OSTP & U.S. Treasury** as lead agencies, working with **SEC, Federal Reserve, CFPB, FinCEN, and NIST**.

The [GAAAP.AI 54 Principles](#) serve as a **foundational framework** for aligning GAAP with AI governance, ensuring that the U.S. maintains **global leadership** in AI-driven financial oversight.

I would welcome the opportunity to **discuss this further or contribute to working groups** on AI financial governance. Please feel free to reach out if any additional information is needed.

Thank you for your time and consideration.

Sincerely,

Garrett Wasny, MA, CMC, CITP/FITP

Founder, GAAAP.AI

 [REDACTED]

 [REDACTED]

Submission to the White House AI Action Plan Request for Information (RFI)

Subject: Advancing AI Governance in Financial Systems: A National Policy Framework for U.S. Leadership

Submitted by:

[Garrett Wasny, MA, CMC, CITP/FITP](#)

Founder, [GAAAP.AI](#)

I. Introduction: AI Financial Governance as a National Imperative

The global AI race is not just about innovation—it's about financial stability, national security, and U.S. economic leadership. AI-driven automation is already reshaping global financial markets, and without immediate governance measures, the risks of systemic AI-driven fraud, cyberattacks, and biased financial models could erode investor trust and weaken America's economic dominance.

Just as the Sarbanes-Oxley Act strengthened financial integrity after the early 2000s corporate scandals, a comprehensive AI financial governance framework is now essential to sustain U.S. leadership in AI and protect national security.

As AI systems become deeply embedded in financial decision-making, **the integrity, stability, and global competitiveness of U.S. markets depend on ensuring AI transparency, accountability, and trust.**

With AI projected to contribute **\$15.7 trillion to the global economy by 2030**—equivalent to **13.5% of global GDP**, rivaling the combined economies of Germany, the UK, and Japan—the **U.S. must lead in setting AI financial governance standards** to secure its competitive edge.

I submit this proposal as part of the **White House AI Action Plan RFI**, outlining a **national AI financial governance framework** modeled after the **Sarbanes-Oxley Act (SOX)**—a policy intervention that restored investor confidence and financial integrity in the wake of corporate scandals.

This framework, built on **54 principles from my [GAAAP.AI governance model](#)**, will:

- ✓ **Enhance U.S. AI competitiveness** by ensuring trust in AI-driven financial systems.
- ✓ **Protect national security and economic resilience** by mitigating AI-related risks, including cybersecurity vulnerabilities and financial fraud.
- ✓ **Balance innovation and regulation** by safeguarding financial integrity **without stifling private sector AI growth**.
- ✓ **Create new economic opportunities** for the accounting profession as AI auditors, establishing a **new legacy franchise and revenue stream for CPAs** in the AI era.

Key areas covered in this submission:

- 📌 National AI transparency and accountability framework
 - 📌 AI-driven financial risk management and cybersecurity resilience
 - 📌 Workforce transformation and economic opportunities in AI auditing
 - 📌 Strategic industry-government-academia partnerships for AI financial governance
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II. The Need for AI Financial Governance in the U.S. AI Action Plan

1. AI as an Economic & National Security Priority

Financial markets are **the backbone of U.S. economic leadership**, and AI-driven automation is now central to:

- **Banking & investment management** (AI-driven risk models, algorithmic trading)
- **Regulatory compliance** (AI-powered fraud detection, Know Your Customer (KYC) systems)
- **Tax & public finance** (AI-enhanced auditing and risk assessment)

However, **unchecked AI models pose risks to financial stability**:

- **Opaque AI decision-making** undermines investor confidence.
- **AI bias in lending and credit models** can exacerbate economic inequality.
- **AI-powered cyber threats** increase risks of systemic fraud and market manipulation.

A national AI financial governance framework will prevent economic disruptions, enhance global AI leadership, and protect U.S. national security interests.

2. Learning from the Sarbanes-Oxley Act (SOX): A Blueprint for AI

The **Sarbanes-Oxley Act (SOX)** restored confidence in financial systems by **mandating corporate transparency and accountability**. Similarly, AI audits can ensure that AI financial systems remain **trustworthy, auditable, and aligned with national economic priorities**.

Key lessons from SOX applied to AI governance:

✓ **Mandatory AI audits** – Just as SOX introduced independent financial audits, a similar AI framework would require **third-party AI audits** to assess fairness, accuracy, and compliance.

✓ **AI governance officers** – Similar to SOX compliance officers, firms deploying AI in finance should **appoint AI governance officers** to oversee responsible AI use.

✓ **Public AI disclosures** – Companies using AI in financial systems should publish **annual AI risk reports**, ensuring investor confidence and public accountability.

III. Proposed National AI Financial Governance Framework

This framework directly supports **White House AI Action Plan goals**, ensuring **U.S. leadership in AI innovation while protecting financial system integrity**.

1. National AI Transparency & Accountability Standards

📌 **AI transparency is not just about compliance**—it is a foundation for public trust in AI-driven financial systems. Without clear ethical standards, AI risks exacerbating economic inequality, reducing financial inclusion, and undermining investor confidence.

📌 **Mandatory AI Audits**: Independent verification of AI systems for fairness, transparency, and compliance with U.S. financial regulations.

📌 **Explainable AI Models**: Require AI systems to document decision-making processes, reducing financial opacity and regulatory uncertainty.

📌 **Annual AI Risk Disclosures**: Firms using AI in finance must publish annual risk assessments akin to SOX financial reporting.

2. AI Financial Risk Management & Cybersecurity Resilience

📌 **AI Cyber Threat Preparedness:** Mandate cybersecurity stress tests for AI-driven financial models to protect against AI-powered fraud.

📌 **Quantum Computing Readiness:** Establish risk mitigation plans for post-quantum financial encryption threats.

📌 **Autonomous AI Decision Oversight:** Require financial institutions to **monitor and audit autonomous AI agents** in lending, trading, and fraud detection.

3. Workforce Transformation & AI Auditing Opportunities

📌 **AI Auditing as a CPA Specialization:** Establish AI audit certifications for CPAs to verify AI model compliance in financial reporting.

📌 **AI Governance as a New Revenue Stream:** AI auditing and oversight can become a new legacy franchise for CPAs, ensuring their continued relevance in an AI-driven economy.

📌 **Collaboration with AI & Accounting Firms:** Partner with Big Four firms, AI startups, and academia to define industry-wide AI auditing best practices.

📌 **By 2030, AI auditing could become a [\\$5.5 billion industry](#)**, opening new revenue streams for CPAs, regulatory technology firms, and financial compliance professionals. With targeted workforce training and certification programs, AI governance can create sustainable, high-skill jobs that future-proof the U.S. accounting industry against automation-driven displacement.

4. Strategic Industry-Government-Academia Partnerships

📌 **Cross-Sector AI Financial Governance Task Force:** Establish a **joint task force** between regulators, financial firms, and AI experts to shape AI governance policies.

📌 **AI Research Grants for Financial Governance:** Fund university-led research on AI-driven fraud prevention and ethical AI design in finance.

📌 **International AI Governance Leadership.** By collaborating with international regulatory bodies (OECD, G20, and IMF), America can shape AI financial governance standards before other nations impose competing frameworks that may limit U.S. innovation

IV. Metrics for Success: Ensuring Effective Implementation

To ensure the success of the AI financial governance framework, the U.S. government should track:

 **Adoption Rates** – Percentage of financial institutions implementing AI auditing standards.

 **Reduction in AI-Related Financial Risks** – Measurable decrease in AI-driven financial fraud, bias cases, and systemic failures.

 **Transparency Metrics** – Increased public confidence in AI governance, based on AI audit disclosures.

 **Global AI Policy Influence** – U.S. leadership in setting international AI financial governance standards.

V. Conclusion: A Unified Approach to AI Financial Governance

The **United States** has a **once-in-a-generation opportunity** to lead in **AI financial governance**, just as **Sarbanes-Oxley** redefined corporate financial transparency. By integrating **AI oversight** into financial regulatory frameworks, we can ensure **transparency, protect national security, and maintain U.S. economic dominance in AI-driven finance**.

The **Office of Science and Technology Policy (OSTP)** and the **U.S. Department of the Treasury** should lead the development of a **National AI Financial Governance Framework**, ensuring that AI-driven financial systems align with **national security, economic competitiveness, and regulatory integrity**.

To achieve this, OSTP and Treasury should establish a **National AI Financial Governance Task Force**, bringing together key federal agencies—including the **Securities and Exchange Commission (SEC)**, **Federal Reserve**, **Consumer Financial Protection Bureau (CFPB)**, **Financial Crimes Enforcement Network (FinCEN)**, and the **National Institute of Standards and Technology (NIST)**—to:

✓ **Harmonize AI financial reporting standards** with global economic leadership priorities.

✓ **Develop a unified AI risk assessment, auditing, and compliance framework** to protect financial markets from algorithmic bias, systemic instability, and AI-driven fraud.

✓ **Ensure interagency collaboration** to create **clear, enforceable standards** that balance **AI innovation with financial security and investor trust**.

By implementing this **cohesive, cross-agency approach**, the United States can **solidify its position as the global leader in AI-driven finance**, ensuring transparency, accountability, and responsible AI deployment in the financial sector.

The [GAAAP.AI 54 Principles](#) provide a foundational roadmap for integrating AI governance with financial regulations, reinforcing trust and accountability in AI-powered financial systems.

The U.S. cannot afford to wait.

AI financial governance is not just a regulatory issue—it is a national economic and security imperative.

Failure to act now could result in the erosion of investor trust, increased financial fraud, and the U.S. losing its leadership position in AI-driven financial markets. To secure America's AI dominance, we must act decisively.

Next Steps:

To move forward, I propose the formation of a White House AI Financial Governance Working Group, bringing together policymakers, industry leaders, and AI experts to refine this framework and establish clear implementation priorities.

This initiative would help define actionable AI financial governance policies that balance innovation with security. I welcome the opportunity to participate in such discussions and contribute further insights.

I look forward to working with policymakers, regulators, and industry leaders to ensure the U.S. remains the global leader in AI-driven finance while safeguarding trust, transparency, and stability.

✉ For further discussion or collaboration, I can be reached at

[REDACTED]

Sincerely,

[REDACTED]

Garrett Wasny, MA, CMC, CITP/FITP

Founder, GAAAP.AI

[REDACTED]